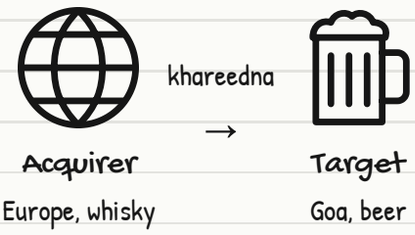
M&A Case: Problem Hai Kya?

Simple Bhasha Mein:

Ek **badi international daaru company** (Europe se, abhi sirf **whisky** banati hai) India ki ek **chhoti local beer company** ko **khareedna (acquire)** chahti hai.
Humein **due diligence** karni hai: kya ye deal sahi hai? Kya target company client ke liye "good fit" hai?



Case Prompt (original):

"Your client is an international manufacturer of alcoholic beverages, and they're considering acquiring a local beer manufacturer in India. Evaluate the opportunity."

Example:

Jaise ek badi chocolate brand ek **local namkeen** company khareede: naya product bhi milega, aur local market ki samajh bhi. Par pehle check karo: **paisa vasool hai ya nahi?**

1. M&A Ki Basic Bhasha

Acquisition

Ek company doosri ko **khareed** leti hai (control le leti hai).

Due Diligence

Khareedne se pehle **poori jaanch**: financials, operations, risks.

Synergy

Saath aane se **1 + 1 = 3**: jo fayda akele nahi milta.

Is case mein: **Acquirer** = client (khareedne wala). **Target / Asset** = local beer company (jise khareedna hai).

2. Interview Ka Flow (Ek Nazar Mein)

Recap → Target ke Qs → Acquirer ke Qs → **30 sec: Structure** → Financial → Operational → Synergies → Risks → **Feedback**

Style dekho: candidate ne har bucket se pehle **10 sec** maange ("Can I take 10 seconds to build my approach?"), phir us bucket ko detail mein khola = **bucket-by-bucket deep dive**.

Source: "M&A Mock Case Interview | The Strategy Sprint #4", Consulting & Strategy Club, IIM Lucknow (Afzal Rao: Administrator · Aniket Dhanuka: Case Solver)

Clarifying Questions: Case Facts

1. Target (Local Beer Company) Ke Baare Mein

Topic	Sawaal	Jawaab
Product	Kaunsi beer? Wheat, lager, etc.?	**Standard light / lager beer**, mass market ke liye
Price	(Interviewer ne khud bataya)	Competitors se **sasti**: lower price segment
Geography	"Local" = kaunsa state / city?	**Western India**, operations **Goa** mein concentrated
Financials	Revenue / market share pata hai?	Financially **healthy**, competitors se **decent profit margins**
Competitors	Goa mein regional + bade international brands?	Haan, assumption sahi hai ✔
Customers	Mass market = kaun?	**Occasional, regular aur social drinkers** ✔

2. Acquirer (Client) Ke Baare Mein

Topic	Jawaab
Global presence	HQ **Europe**; kai countries mein, **India mein bhi** present
Product	Abhi sirf **whisky**
Objective	India mein **product portfolio + presence expand** karna
Kya laata hai?	Better **brand equity** + bahut saara **capital**

Note:

Candidate ne pehle sirf target ke sawaal poochhe, structure se pehle **wapas aake** acquirer ke poochhe ("few questions I missed"). Theek hai, par M&A mein **shuru se dono side** ke sawaal poochho.

3. Yaad Rakhne Ka Checklist

TARGET ke liye (slide pe "CPCC" type)

- Company: financials, geography
- Product: kya bechte hain, price segment
- Customer: kaun khareedta hai
- Competitor: market mein aur kaun

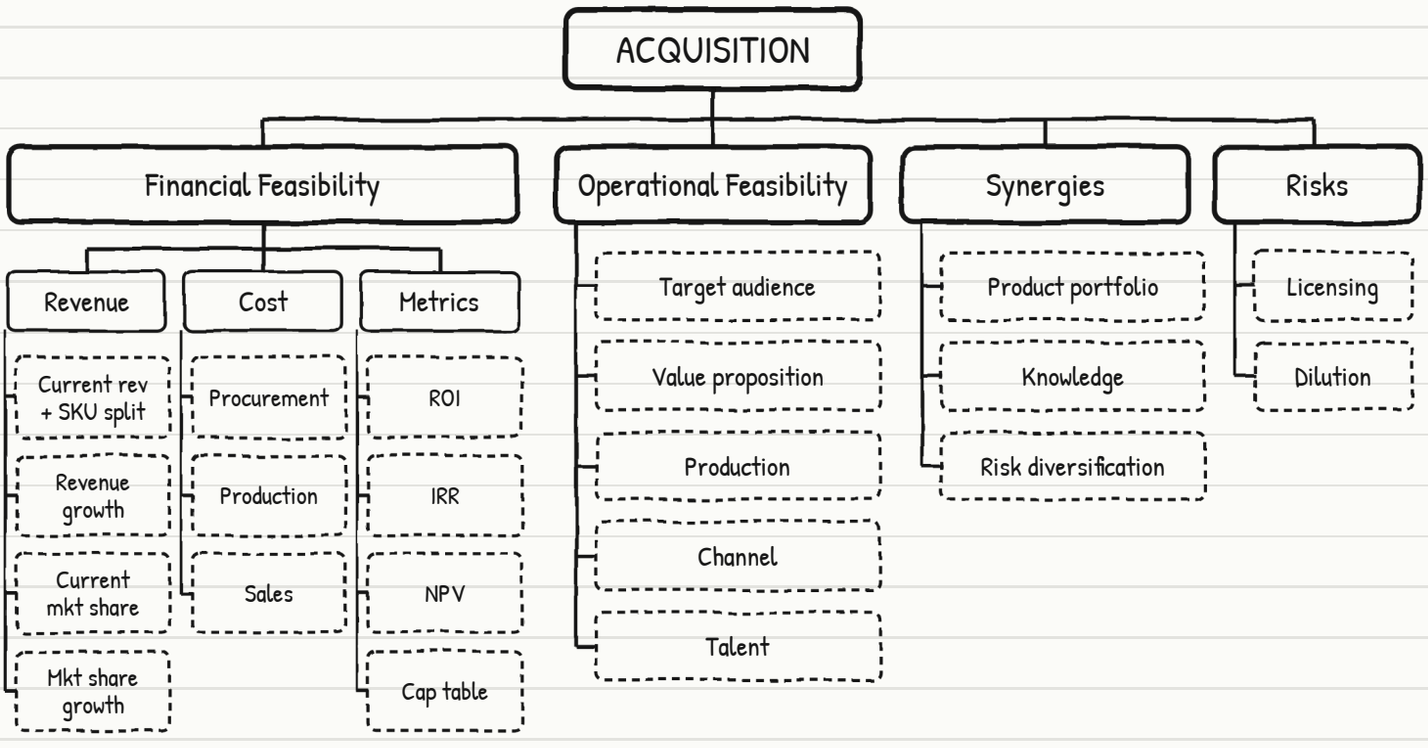
ACQUIRER ke liye

- Kahan hai, kya bechta hai
- **Objective**: deal kyun? (growth, portfolio, market entry)
- Kya laata hai: brand, capital, distribution

⚠ **Miss hue sawaal (feedback):** beer **glass bottle ya can** mein? Bikri **B2B ya B2C**? Candidate ne B2C assume kiya, theek tha, par **clarify** karna chahiye tha (page 6).

Framework: Acquisition ka Structure

Case Framework (Interview ke end wali slide se)



← Har bucket = ek sawaal:

Financial: "Paisa banega?" · Operational: "Chalega?"

Synergies: "Saath mein fayda?" · Risks: "Kya bigad sakta?"

Candidate Ne Kaise Present Kiya?

30 sec lekar **3-4 buckets** ka overview diya → Interviewer: "fair approach" ✔ → Har bucket se pehle **10 sec** → us bucket ka **sub-structure** → End mein: "Kuch miss kiya?" (check-in)

Tip:

Pehle **high-level buckets** bolo, approval lo, phir **ek-ek bucket** kholo. Isse interviewer ko lagta hai tum **organized** ho, aur beech mein woh direction bhi de sakta hai.

Risks bucket:

Candidate ne "legal risks" sirf mention kiya, detail nahi. Slide pe: **Licensing** (alcohol ke state-wise license / laws) aur **Dilution**.

Financial + Operational Feasibility

1. Financial Feasibility: "Paisa Banega?"

Revenue

- Pichle kuch saal ka revenue **badh raha** hai?
- **Market share** bhi badh raha?
- → West mein product **successful / viable** hai ya nahi

Cost Structure

- Raw materials / **procurement**
- Production
- **Sales cost**: alcohol industry mein bahut high hota hai

Metrics

- **IRR** (aur ROI / NPV)
- Kya ye client ke **objective** se match karta hai?

⚠ **Feedback:** financial bucket mein aur add kar sakte the: **cap table**, **interest payments**, **profitability**, aur project ka expected **NPV**.

2. Operational Feasibility: "Business Chalega?"

① Target Audience (kaun khareedta?)

Mass market, sasta → **sab tarah ke drinkers**. India mein log alcohol pe **kam kharch** karna pasand karte hain → attractive. Par occasional drinkers shayad **premium beer** lein.

② Value Proposition / USP (kyun khareedta?)

Taste? Quality? Ya **packaging**? Goa = **tourists**, aur tourist aksar **packaging dekh ke** khareedte hain, taste se kam.

③ Channel (kahan bikta?)

Retail shops / thekas vs **bars, pubs, restaurants**. Mass product → zyada **thekas** mein, premium bars mein kam.

④ Production

Production **capacity** kitni hai? Koi **unutilized capacity** hai jise use karke revenue badha sakein? Process robust hai?

⑤ Talent / Workforce

- **Leadership**: alcohol industry ka kitna experience?
- **Sales team**: B2B selling mostly sales team se hoti hai → kitni efficient?
- **General workforce**: khush hain? Naraz workforce = management mein problem ka signal.

Example:

Ghar khareedne se pehle dekhte ho: **EMI chalegi?** (financial) aur **rehne layak hai?** (operational). Dono check zaroori.

Synergies + Risks: 1 + 1 = 3?

1. Teen Synergies (Candidate Ke)



① Product Portfolio

- Whisky (client) + Beer (target) = **2 products**
- Channels / partners se **better deals negotiate**
- **Brand awareness** zyada



② Knowledge

- Goa ki **local demand**, **seasonal** ups-downs
- **Compliance**: alcohol laws **har state mein alag**
- Local beer ko West se **baaki India** mein le jaana



③ Risk Diversification

- Kuch mausam / events mein **beer** zyada, kuch mein **whisky**
- Goa mein **concerts, events**
- Dono hon to **risk kam**

Analogy:

Chai ki dukaan wala **samose** bhi rakh le: same customer, same dukaan, **zyada bikri**. Garmi mein **lassi**, sardi mein **chai** → saal bhar income (diversification).

Par dhyan: samose ke liye **alag supplier, alag udhaar ki shartein, alag storage** chahiye. Wahi baat yahan beer vs whisky mein (credit cycle, warehousing alag).

⚠ Par har synergy sach nahi hoti! (Feedback)

- **Distributors ke credit cycles** alag: local beer co. vs MNC whisky co. → ye synergy **expect mat karo**.
- **Warehousing**: beer aur whisky ki storage needs **bilkul alag**.
- **Restaurants ke menu fixed** hote hain, overnight nahi badalte → cross-selling **retail / thekas** mein chalega, **bars / restaurants** mein nahi.

2. Risks (Slide Se)



Licensing

Alcohol = heavily regulated. Har state ke **license aur laws alag**. Goa ka license baaki states mein kaam nahi aayega.



Dilution

Slide pe sirf naam hai, detail nahi. Socho, jaise **brand dilution** (premium image pe asar) ya **ownership / value dilution** (deal ke baad hisse ki value).

Yaad rakho: synergy bolte waqt **realistic** raho. Har synergy ke saath socho: **"Kya sach mein ho sakta hai? Kahan nahi chalega?"** Interviewer isi pe pakadta hai.

Interviewer Feedback: Kya Miss Hua?

Kya ACHHA tha ✔

- Pehle round ke sawaalon mein **bahut ground cover** kiya: company, product, customers, competitors.
- Case ko **Financial / Operational / Synergies / Risks** mein todna "nice" tha.

Kya Sudhaarna Hai (Slide Ke 3 Points + Detail)

Area	Kya miss hua	Kyun matter karta hai?
1. Clarifying Qs	Product format: **glass bottle vs can**? Channel mix: **B2B vs B2C**?	Format aur channel se cost, logistics, pricing sab badalta hai. B2C assume kiya, theek tha, par **clarify** karna tha.
2. Financials	**Cap table**, **interest payments**, **profitability**, expected **NPV**	Deal ki value aur funding samajhne ke liye zaroori.
3. Operational synergies	**Distributors** stakeholder miss; credit cycles aur **warehousing** alag	Synergies ko **selectively** evaluate karo, sab kuch synergy nahi hota.
4. Channels	Restaurants / bars ke **fixed menus**	Cross-selling sirf retail mein; on-trade mein turant nahi.
5. Deal lifecycle	**Pre-acquisition** aur **post-acquisition** sawaal hi nahi	Case sirf "during" (due diligence) pe tha (page 7).

Pre-Acquisition: "Kyun?" Wale Sawaal

Kyun yahi asset?

Goa ki **yahi company** kyun? West mein koi aur kyun nahi?

Kyun yahi region?

Pehle **East, South ya North India** kyun nahi? West / Goa hi kyun?

Kyun acquisition?

Objective clear tha (portfolio + India), par **ye route** kyun?

Post-Acquisition: "Phir Kya?"

- Beer company ko **apne naam ke andar absorb** karenge?
- Ya **alag entity** ki tarah chalayenge?
- **Integration plan** kya hai? Video mein ye bhi clear nahi hua.

Analogy:

Shaadi se pehle "**kyun**", shaadi ke time "**kundli match**", shaadi ke baad "**saath kaise rahenge**": teeno sochne padte hain!

Deal Lifecycle + Key Takeaways

1. M&A Deal Lifecycle (Poori Picture)



PRE-Acquisition

"Kyun?"

- Deal ka rationale
- Kyun ye region?
- Kyun ye company?

✘ Case mein miss

→



DURING (Due Diligence)

"Sahi hai?"

- Financial
- Commercial / Operational
- Synergies + Risks

✔ Case ka main focus

→



POST-Acquisition

"Phir kya?"

- Absorb ya alag entity?
- Integration plan
- Brand strategy

✘ Case mein miss

2. Key Takeaways (Interview Se Pehle Padho!)

1. Clarifying Qs mein **Target + Acquirer dono** cover karo, shuru se hi.
2. Product ka **format** (glass / can) aur **channel mix** (B2B / B2C) poochho.
3. Structure: **Financial** → **Operational** → **Synergies** → **Risks**.
4. Financial mein **ROI, IRR, NPV, cap table, interest** mat bhoolo.
5. Operational mein **saare stakeholders** (distributors bhi!).
6. Synergies **realistic** rakho: credit cycle, warehousing, menu jaise **limits** socho.
7. Deal ko **pre** → **during** → **post** lifecycle mein dekho.
8. Har bucket se pehle **chhota pause**, end mein **check-in** karo.

3. India Alcohol Market: Case Ke Context Points



State laws

Har state ka alag rule, license, compliance



Channels

Thekas / retail vs bars, pubs, restaurants



Price-sensitive

Zyada log sasti alcohol pe kharch karte hain



Seasonality

Mausam, tourist season, events se demand badalti



Kyun khareedein? → Sahi hai? → Phir kya karenge?